



ROWAD
MODERN ENGINEERING

Claim Process
P-CN-02

Prepared by:

Ahmed Gamal
Contracts & Claims Mgr.

Amr Dawood
Projects Control Manager

Mahmoud Mahlab
Operation Mgr.

Reviewed by:

Mohamed Ragab
COO

Approved by:

Mohamed Mahlab
CEO

March, 2022

	Claim Process		
	Effective Date: March, 2022	Rev. No.: 00	Doc. No.: P-CN-02

1. OBJECTIVES

The objective of this process is to ensure proper monitoring of every event that occurs on site over the life cycle of the project, and its consequences on the schedule and cost according to the contract clauses; to ensure RME rights are preserved.

2. STAKEHOLDER

- Contracts & Claims
- Projects Control
- PM
- Finance
- HR
- Operation
- Formwork

3. LIABLE STAKEHOLDER

- Contracts & Claims
- Projects Control
- Operation
- PM
- TOM
- COO
- HR
- Finance
- Formwork

4. TERMS AND DEFINITION

- **RME:** Rowad Modern Engineering
- **HR:** Human Resources
- **PM:** Project Manager
- **TOM:** Technical Office Manager
- **COO:** Chief Operation Officer
- **EOT:** Extension of Time
- **RFP:** Request for Proposal

	Claim Process		
	Effective Date: March, 2022	Rev. No.: 00	Doc. No.: P-CN-02

- **RFC:** Request for Change
- **CVI:** Confirmation of Verbal Instruction
- **VO:** Variation Order
- **HoD:** Head of Department

5. RELATED DOCUMENTED INFORMATION

- Event Form, F-P-CN-02-01
- Event Log, F-P-CN-02-02
- EOT/Cost Claim Log, F-P-CN-02-03
- Delay Analysis Results, F-P-CN-02-04
- Time Impact Analysis Results, F-P-CN-02-05
- RFP, F-P-CN-02-06
- Window Analysis Results, F-P-CN-02-07
- Delay Analysis Report, F-P-CN-02-08
- VO, F-P-OP-02-06
- External Letter, F-P-QD-06-04
- CVI, F-PQP-01-08

6. PROCESS DETAILS

6.1 PROCESS INPUT

- Contract
- Approved Baseline
- RFP/RFC
- CVI
- Delay Events

	Claim Process		
	Effective Date: March, 2022	Rev. No.: 00	Doc. No.: P-CN-02

6.2 Process Operations

Sr.	Process Cycle Description	Responsibility	Form
1	Site team shall notify Contracts as soon as any event occurs that hinders the progress of work (i.e., bad weather, client delay in responding, etc.), and/or identified by the site contract engineer.	Site Team Contracts	Event Form F-P-CN-02-01
2	Contracts shall prepare a notice to claim letter for each event including its details according to the terms specified in the contract, after receiving the event-form from the Site team, then send it to the PM to be signed within 24 hrs.	Contracts PM	Notice to Claim Letter
3	In case of PM's suspension, PM shall discuss his opinion with Contracts before taking the final decision.	PM Contracts	
4	Contracts shall assign each event information in the event log, then send it to Projects Control to prepare Delay Analysis according to the method of delay analysis, then send the delay analysis report to Contracts dept within 14 working days from receiving the event log. For certain cases, upon agreement with Projects Control, time bars stipulated another shorter duration is prepared by Contracts dept.	Contracts Projects Control	Event Log F-P-CN-02-02 Delay Analysis Results F-P-CN-02-04 Time Impact Analysis Results F-P-CN-02-05 Window Analysis Results F-P-CN-02-07 Delay Analysis Report F-P-CN-02-08

	Claim Process		
	Effective Date: March, 2022	Rev. No.: 00	Doc. No.: P-CN-02

5	Upon issuance of the events log, Contracts shall start drafting the EOT claim based on the delaying events.	Contracts	EOT Claim Cover Letter
6	After finalising the EOT claim, Contracts shall raise the claim with a cover letter to the PM for signature, then send it to the client within 24 hrs. The whole claim process to be within the Contract stipulated time bars.	Contracts PM	EOT Claim Cover letter
7	Contracts shall assign each claim status in the claim log and update it consecutively.	Contracts	EOT/Cost Claim Log F-P-CN-02-03
8	Contracts shall study the cost claim for the EOT claim, for instance, acceleration cost, suspension cost, prolongation cost, or others.	Contracts	
9	In case there is any cost impact on the project, the cost elements to be identified by Contracts and send to Projects Control to provide the cost sheet regarding the cost claim, Project Controls to reply within 3 days. The major cost sheet axes are the summary of the monthly costs, daily report, depreciated items "Equipment & Tools". Additional information, if needed will be requested from the concerned parties and to be provided within 3 days from the requested date, along with its relevant supporting documents (If applicable). • HR (Accommodation, transportation, daily wages, payroll gross bulk per month)	Contracts Projects Control HR	

	Claim Process		
	Effective Date: March, 2022	Rev. No.: 00	Doc. No.: P-CN-02

	- Finance (Risk insurance, Bonds fees) - Formwork (Rent, purchased and depreciated for scaffolding) - Operation (List of equipment and rented equipment contracts)	Finance Formwork Operation	
10	Final review for the provided cost claim to be conducted by Contracts prior submission. After finalising the claim, Contracts shall raise the claim with a cover letter to the PM for signature, then send it to the client within 24 hrs.	Contracts PM	Cost Claim Cover Letter
11	Contracts shall assign each claim status in the cost claim log and update it continuously.	Contracts	EOT/Cost Claim Log F-P-CN-02-03
12	<u>Disputed Variation order</u> In case the VO is disputed, and the change was the client's request and/ or RME's proposal, Operation shall check all-related evidence, and then notify Contracts to study the event and raise VO disputed items letter, if applicable.	Operation Contracts	VO F-P-OP-02-06 CVI F-PQP-01-08 RFP F-P-CN-02-06 VO Disputed Items Letter
13	<u>Claims Follow-up</u> Claims to be negotiated with the client by the Contracts, Projects Control, PM, and COO (if needed).	Contracts Projects Control PM COO	
14	In case of reaching satisfactory solutions and obtaining the dues, claim process will end.		

	Claim Process		
	Effective Date: March, 2022	Rev. No.: 00	Doc. No.: P-CN-02

15	In case of failure to obtain the dues, the matter shall turn into a dispute, and will resort to arbitration or Egyptian courts, according to the contract dispute resolution clauses.	Contracts	
----	---	-----------	--

6.3 PROCESS OUTPUT

- EOT Claim
- Delay Analysis
- Cost Claim
- Detailed Cost Sheet

7. PROCESS RISK ASSESMENT

Included in the risk register form No. F-P-QD-05-01 “Risk identification and assessment” maintained by the HoD, along with the action plan to address risks and opportunities”.

8. PROCESS CONTROL

- Notice to be submitted as per contractual duration
- Daily site report and supporting documents to be maintained until the project revised completion date.

9. PERFORMANCE MEASURES

- No liquidated damages application from the client
- Project delay are covered by EOT claim
- Settlement of cost claims vs progress delay or compensation amount

10. DOCUMENT CHANGE HISTORY

No.	Revision Level	Description of Changes	Effective Date
01	00	New Issue	March 2022